

computers. We put all our data into the computer and found that Graham's formula, which he had written about many years earlier, still worked extremely well. The portfolios we put together using Graham's principles did much better than the indexes. The study got published in the *Journal of Portfolio Management* in the summer of 1981. Before going off to law school, I started a fund to buy stocks selling below their liquidation value with \$250,000 that I had raised from my father's friends.

How long did you manage that fund?

For about two to three years. When I had my first full-time job, it was suggested to me that it was not appropriate to keep the fund running.

How did the fund do?

It made 44 percent cumulatively.

Since you had gotten off to such a good start with the fund, did you consider the possibility of building that into a career instead of getting a job?

I thought I had more to learn. It was a good experience managing other people's money and knowing what that felt like.

What was your first investment based job?

After my first and only year at law school, I took a summer job trading options at Bear Stearns.

Did you know anything about options at that point?

No, I ended up doing forward conversions, which are a riskless arbitrage.² The idea was to put on these arbitrage trades and earn 18 to 19 percent annualized.

The option market was that inefficient at the time?

No, interest rates were that high at the time. I think the arbitrage added about 5 percent to 6 percent to the risk-free rate. Frankly, the trading was kind of mechanical. At the time, you didn't have the option prices on the screen in front of you. I had to run to the other side of floor to get a printout of option prices to see what options were setting up attractively relative to the stock. Then I would run back to my desk to try to execute